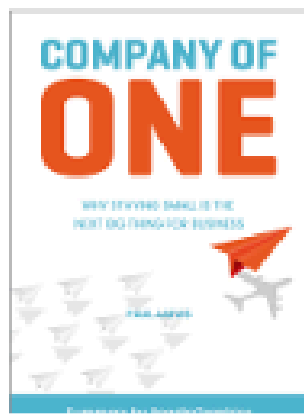




COMPANY OF ONE

Why Staying Small Is the
Next Big Thing for Business

PAUL JARVIS



The Big “So What”

Growth isn't always good. In fact, growing for the sake of growing can hurt a business. This book challenges traditional ways of thinking about business and work, and shows why being small can be a goal in itself. A Company of One isn't just for freelancers and entrepreneurs—the insights can be used for anyone who wants to design their work to support their desired lifestyle.



Introduction



When we think of business, we tend to assume that bigger is better. The default is to keep adding more—more customers, more employees, more products etc. But, what if you can spend/do less and have more time, money and freedom to live the life you want?



A Company of One represents a different mentality that allows you to reap the benefits of a large company—including revenue, autonomy, fans, and enjoyable experiences—without the costs and burdens of one.

- Company of One ≠ freelancing. Freelancers exchange time for money, whereas a Company of One brings in sustainable revenue in a way that serves your life goals.
- Anyone—be it an entrepreneur or a corporate leader—can adopt the mindset/model of a Company of One to build a lean and agile setup that can survive in any economic climate.



The book is organized into 3 sections, which we've condensed into 2 parts in this summary.

KEY QUOTES

“Not all growth is beneficial, and some growth can actually reduce your resilience and your autonomy.”



Part 1: Become Better, not Just Bigger



Bigger isn't always better



Growth is often used to measure business success. When a company does well, it tends to hire more people, build more infrastructure, expand its customer base and product range. However, growth isn't always beneficial.

- A company focused on growth may invest heavily in advertising, a sophisticated website and mobile app. It must now hire a big team to manage the ads and website/app, then add systems and people to manage the team. As expenses continue to rise, it's forced to keep growing its revenue in a vicious cycle.
- Starbucks lost money when it tried to expand into CDs, fancy drinks and sandwiches. In the end, they had to scale back, close hundreds of stores and refocus on what they did best—coffee.



Unchecked growth is also a key factor behind startup failures. The Startup Genome Project found that 74% of high-growth tech startups failed because they scaled up too rapidly. Pets.com was one of the rising stars during the dot-com boom. However, its rapid growth was fueled by aggressive marketing—in the 2nd quarter of 2000 alone, it spent \$17 mil on an advertising campaign when its revenue was only \$8.8 mil. The company ended up losing almost \$300 mil. Flushed with cash from investors, many start-ups waste money on flashy offices, high-profile teams, sophisticated products and huge marketing campaigns, on the assumption they can make back the money later. It's no wonder the failure rate is so high.



Staying Small as an End-Goal



A Company of One is not anti-growth. However, it questions if growth is truly needed, and if so, how to grow

KEY QUOTES

"Growth, as a primary focus, is not only a bad business strategy, but an entirely harmful one."

"Running a business of any size is hard work. Having made it sustainable and profitable, whether it's big or small, should be something to be proud of."

with the same or less resources. Instead of growing for the sake of growing, it considers if and how growth can serve its end-goals.



Businesses may sometimes benefit from economies of scale. However in most cases, companies seek growth for 4 reasons, all of which can be served by staying small as a Company of One:

- You need more profits to counter inflation, though you need not grow big just to do so. By serving your existing customers better, you can gradually raise prices, then invest the extra profits to earn a rate of return that's higher than inflation.
- Satisfying investors: Investors typically expect $\geq 3x$ returns on their investment, which creates pressure for rapid growth. The solution is to start with the smallest version of your idea so you don't need extra funding, then expand only when you have enough profits to fund the growth.
- Off-setting churn or replacing customers who leave you: It costs about 5x as much to acquire a new customer than to keep an existing one. So, it's better to prioritize retention over acquisition.
- Most people start a business because they want a higher income and the flexibility to do what they believe in. Yet, they pursue growth ceaselessly to satisfy their ego, and end up being trapped in the business.



A bigger company may not be better, more stable or profitable. There's a growing number of businesses without employees that generate 6- or 7- figure revenues and can easily weather any economic storm.

- A corporation that earns \$50 mil and spends \$100 mil is less stable than one that earns \$500,000 and spends only \$50,000. During an economic downturn, companies with high overheads are more likely to retrench staff or even go bankrupt.
- Traditionally, a successful career means climbing the corporate ladder and managing a large team. This is changing as more people choose gig-based, remote work

KEY QUOTES

"Staying small and not focusing entirely on growth keep your own integrity and personality at the heart of the business, making it much easier to run your business or team in a way that suits you and helps customers."

"The current business paradigm teaches us that to make a lot of money or to achieve lasting success, we need to scale our businesses—as if larger businesses are less prone to fail or to become unprofitable (obviously not true)."

for more flexibility and autonomy. A Company of One can also be embedded in a large organization.

- (i) It's similar to how an *intrapreneur* creates and markets new products using the company's resources, except a Company of One may or may not involve product creation. It can be as simple as a leader who defines and executes his own goals to increase value/output with existing resources.
- (ii) In *Results-Only Work Environments (ROWEs)*, employees are free to manage their time so long as they deliver the results. Google lets its staff spend 20% of their work hours on projects outside their job roles—a practice which has led to more than half of Google's new products and projects.
- Even if your organization doesn't grow (or grows very slowly), you can still grow your career by going deeper or wider into your role:
 - (i) Increase your *scope of influence* or the impact you make within/outside your organization. For example, can your software code be used in more industries, or can you become the “go-to” person for a specific area?
 - (ii) As you become more skilled and experienced in an area, you can also increase your *ownership* in an area, e.g. propose and drive meaningful projects or run an entire function independently.



In fact, with modern technology, you can accomplish a lot with 1 person or a few people.

- You can use prepackaged solutions to automate sales funnels, drop-ship and even manufacture products without investing in expensive offices, IT systems and infrastructure. Need/Want managed to reach almost \$10 mil revenue with less than 10 employees—they used Shopify (a prepackaged ecommerce solution), chose affordable online marketing channels, and outsourced their manufacturing, shipping and fulfillment.
- Instead of hiring full-time employees (which mean fixed salaries, benefits, office space and equipment), you can hire freelancers/contractors and pay only for completed

KEY QUOTES

work. Invest some time/effort to find A-players who share your values, and pay them a premium for above-average work. You'll probably find it much more enjoyable to work with a small team you trust.



In short, focus on what you can do now with existing resources to make the business better, not just bigger.

- Stop using growth as the only measure of success. Instead, consider other meaningful indicators, e.g. quality of customer relationships, resilience and happiness for you and your employees/customers.
- Don't just set a lower bound for your goals (e.g. "I want to earn at least \$1mil"). Learn to also set an upper bound, i.e. the point where you start to experience diminishing returns on your profits or enjoyment (e.g. "I want to earn at least \$1 mil but no more than \$1.5mil"). In 1996, Southwest Airlines could have expanded to more than 100 cities, but it chose to serve only 4 new locations at a time. This upper limit helped them to stay profitable at a time when most airlines were losing lots of money.



Leading a Company of One



A Company of One has 4 key traits:

- Resilience or the ability to bounce back from difficulties. This includes: (i) *accepting reality* so you can address it head-on, (ii) a *sense of purpose* that keeps you on-track, and (iii) the *ability to adapt* as circumstances change.
- A Company of One can give you more autonomy and control over your business/career. However, you must first invest the time/effort to master the required skills.
 - (i) Entrepreneurs may be their own boss but slaves to their clients. They can only choose the ideal customers or projects after attaining a certain level of skills and experience. Likewise, employees in ROWEs are evaluated by results—the faster/better they work, the more they're rewarded.

KEY QUOTES

"You have to be good at your skill set before you can expect to achieve autonomy from using it."

(ii) To develop good solutions, you must first understand the problem/domain well. To run a Company of One, you must become proficient in a range of skills, including sales, marketing, project management, relationships etc. You must learn how people and businesses work, including psychology, communication skills, resilience, and focus.

- Speed: People are typically more creative when they work under constraints. Basecamp has a 4-day workweek and encourages employees to enjoy their free time. When people develop smart solutions with less time and resources (in return for extra time and rewards), it benefits both the employees and the organization. This also builds the company's ability to adapt quickly to market changes.
- Simplicity: Instead of adding more, a Company of One rigorously simplifies processes and rules. If a business idea requires a lot of time, money or resources, it's probably too complex. Start with the simplest possible option, and only add new layers of complexity if it's absolutely required.



You don't need to be charismatic, dominant or an extroverted leader to run a Company of One. Regardless of your personality type, you can tailor your work/team to leverage your strengths. The author Jarvis is awkward around people, so he hires A-players who can work independently with clear parameters, and conducts online courses instead of live speaking engagements.



It's a myth that if you work for yourself, you must work twice as hard. Workaholism only leads to poorer mental, emotional and physical health. As a leader, you must set a clear direction, then use processes, systems and checklists to improve the speed/quality of your team's work. Balance between giving too little guidance (which leads to chaos) and too much guidance (which leads to over-reliance), and also balance between hard work and recovery by leading with self-awareness, empathy and gratitude.

KEY QUOTES

"By being smarter at getting more work done faster when you work for yourself, you can create a more flexible schedule that fits work into your life in better ways."

"For a company of one at any size, simple rules, simple processes, and simple solutions typically win."

"A leader's job is to provide clear direction and then get out of the way. Even companies of one require direction and set processes."



Part 2: Building & Maintaining a Company of One



Adopt the Right Mindset



To succeed as a Company of One, you need a clear purpose that guides your decisions and everything you say and do.

- You can't fake your purpose—it shows up in your choice of suppliers, customers and employees, your products/services, and how you allocate your time/resources. For example, Seventh Generation considers the impact of their products on the next 7 generations. This led them to create non-toxic plant-based cleaning supplies, and encourage people to line-dry their clothes (even if it reduced their dryer sheet sales).
- To find your purpose, take time to reflect on how to serve your clients in a way that meets your common values and desires.



Being passionate about something doesn't make you good at it. People who succeed in their areas of passion also meet 2 other criteria: they (i) are skilled in that area, and (ii) have rigorously tested their offerings in the marketplace.

- Don't blindly follow your passion. Start by getting really good at solving a problem and helping others to succeed. Chances are, you'll end up developing a passion for what you do.
- Build your foundation before making the leap. For example, an engineer may start working on web-design projects outside his day job, and become a full-time web designer only after honing his skills and building a customer base.



Realize that a busier life isn't always better. There's always an opportunity cost: each time you say "yes" to something, you're saying "no" to something else. You also lose precious time whenever you switch tasks or get distracted.

KEY QUOTES

"How you think about work is important to how work gets done."

"Your purpose is the lens through which you filter all your business decisions, from the tiny to the monumental."

"Passion isn't the catalyst that creates success, but more often what develops after success is achieved."

"In saying no to anything that doesn't fit, you leave room to say yes to those rare opportunities that do fit—opportunities that align with the values and ideas of your business."

- Do a productivity audit 1-2x a year to take stock of how you're spending your time. Are you wasting too much time on emails, chats and random meetings?
- Get clear on your priorities, then become adept at single-tasking, i.e. to focus deeply on 1 task for a period of time.
- Challenge yourself to get the same amount of work done in half the time. Adopt sound productivity habits, e.g. prioritize time daily for focused work, create a stop-doing list, and batch similar tasks (say, handle all your calls and social media in 1 afternoon).



Launch and Iterate with Baby Steps

 A new product idea involves many assumptions about what your customers want/need, how well your solution works, what's the ideal price-point etc. Release the smallest possible version of your idea so you can start to test your assumptions, learn what works and doesn't, and start earning money instead of spending it.

- Don't try to perfect a product before launch. For example, instead of creating a complete online course, try testing it as a service in the form of a 1-1 consultancy. This allows you to start making money while getting feedback to improve your solution.
- Being small and obscure initially is actually an advantage. It allows you to test and refine your approach quickly, with minimal repercussions when you fail (which you will).

 Your goal is to attain Minimum Viable Profit (MVP_r) asap. Instead of spending money upfront in hope for potential profits, aim to achieve realized profits *now*.

- Once you start to make profits (however small), you can invest the profits back into the business to generate even more profits. With each iteration, you can improve the solution and increase your MVP_r.
- You achieve the minimum MVP_r once you make enough money to cover the salary of the owner(s), and can start to spend on additional hires or resources. Your business

KEY QUOTES

"Starting out small is the best time to learn what your business truly is and why it serves who it serves."

"By starting out small, a company of one can put all of its energy into solving problems for real people rather than into growing large enough to maybe solve problems for people one day."

"Every minute you spend getting set up and started is a minute when you aren't making money."

"Scale it down to what can be done right now, on the cheap and fast, and then iterated upon."

becomes viable when the MVPr grows to the point where it can support the owner(s) and have enough left over to fund business improvements.

- In short, you're forcing yourself to come up with creative solutions that can be executed with minimal resources, then learn and earn on the way. The growth will be slower but much more sustainable.



Launching is actually a recurring process. You should continually collect feedback, improve your solution and adjust your strategy instead of sticking to a fixed plan. This will help you to stay agile and adapt quickly to market changes.

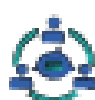


Leverage Scalable Systems

Scale up without getting bigger. Use scalable systems that allow you to keep your team lean and focused.



Creation: Consider how you can make your products more impactful without necessarily selling more. For example, Arthur & Henry measures success using sustainability: they encourage customers to wear their clothing longer (e.g. rolling up frayed sleeves when the clothes get older), focus on steady revenues and minimizing environmental damage.



Consider how to scale your connections with stakeholders without scaling up your business. For example, it takes the same amount of effort to send an email or newsletter to 1 person vs 5,000 people. The key is to automate the process so the right message reaches the right person at the right time. Keep using market tests and A/B tests to improve your positioning, personalization, and segmentation. You can also automate other processes (e.g. onboarding and project management) using emails, videos and FAQs.



Consider how you can use technology to facilitate collaboration. Instead of insisting that your employees respond immediately to all messages (which can be distracting and unproductive), limit real-time communication to time-critical matters or pre-scheduled collaboration (like brainstorming sessions or hackathons). This allows people to stay connected while still having the time to focus on important work.

KEY QUOTES

"Launching isn't a one-time, singular event, but a continual process of launch, measure, adjust, repeat."

"Working for yourself doesn't necessarily mean working by yourself."



Stand out with your Unique Personality



Every brand has a personality that's determined by what it says and does, e.g. Harley-Davidson connotes rebelliousness, and Snapchat connotes youth and freshness.

- If you don't design your brand personality, your audience will assign one for you. In a Company of One, your brand should reflect an authentic, distinct aspect of who you are and who you serve.
- The best way to capture people's attention is to fascinate them by being unusual, quirky or interesting. Don't be afraid to make a stand or to be different. You may alienate people who don't resonate with your viewpoint or personality, but you'll also win the support, loyalty and advocacy of others who believe in what you do and why. On the other hand, if you try to appeal to everyone, you'll end up appealing to no one.



Use polarization to spark debate and create visibility without costly advertising:

- Placation: Try to win over people who dislike or hate you, e.g. General Mills created low-carb, gluten-free cake mixes to address concerns over obesity and gluten sensitivities.
- Prodding: Antagonize your haters to sway neutral parties over to your point of view.
- Amplification: Play up a specific characteristic, e.g. Marmite knew that people either loved or hated its unique taste, so they released "Marmite XO" with an extra-strong flavor that became a hit with their biggest fans.



Build Trust and Long-term Relationships



Every company needs 3 types of capital:

- Financial capital: Keep this as small as possible initially so that you can achieve your MVPr quickly.

KEY QUOTES

"While skills and expertise can be replicated, it's near impossible to replicate someone's personality and style."

"When you hoist your viewpoint up like a flag, people know where to find you; it becomes a rallying point."

"Brand personality needs to foster a two-sided relationship—one focused on not just how your businesses can benefit or gain something from others, but on how others can benefit from having a relationship with your business."

"This is the way to bank social capital: by starting a long-term and mutually beneficial relationship."

- Human capital: This is the value that you (and your team) brings to the business, and is derived from your skills and experience.
- Social capital: This is the perceived value that you offer. Relationships are like bank accounts—you can only withdraw what you've put in. Instead of asking "What can I sell?", ask "how I can help?"



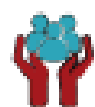
It's easier to sell to someone who already has an established relationship with you. Unfortunately, companies obsessed with growth can get so caught up with acquiring new customers that they neglect existing ones. Companies of One should leverage on their small size to develop close, personal relationships with their clients.

- According to McKinsey, 70% of buying experiences are influenced by customers' feelings rather than logical considerations. When a customer feels special, or if he feels that you've gone out your way to help him, it creates a strong emotional connection. A service rep from RackSpace was on a call with a client when she overheard someone in the client's office saying he was hungry. So, she secretly delivered a pizza to the client's address. This story quickly became the talk of the town.
- Customers don't care if you're profitable. However, if you can help them to be profitable and successful, you'll quickly earn their loyalty.



In the end, building strong connections is about making your customers happy, so they'll stick with your brand and share about it. The only way to serve your customers well is to listen carefully, so you understand their needs, wants, problems and desires:

- One of 3M's divisions decided to actively use customers' ideas to drive their innovations. Within 5 years, the user-led innovations from that division were generating 8x the average revenue from other internally-led innovations.
- A customer-centric mindset should cut across all aspects of your business, from product design to delivery and after-sale service.



People are more likely to buy from those they trust. And, it's easier to build trust and engagement with a small, targeted

KEY QUOTES

"There's something quite memorable about a personal touch, or a business taking ownership of a problem and going out of its way to fix it."

"Customer success is the cornerstone of a profitable company of one."

"Customer happiness is the new marketing. If your customers feel that you are taking care of them, then they'll stick around and they'll tell others."

"Trust has to be totally baked into every aspect of not only what you sell, but how you sell and support it."

audience whom you understand and serve well. Remember: a customer who pays \$10 a month and stays with you for 10 years is worth more than a customer who pays \$100 once. On the contrary, a bad customer experience can spread quickly via online reviews and social media.

- According to Glen Urban, there are 3 aspects of trust: (i) confidence ("I believe what you say"), (ii) competence ("I believe you can do what you say"), and (iii) benevolence ("I believe you're acting on my behalf").
- Instead of mass-marketing to get more likes and clicks, measure trust and engagement as meaningful predictors of long-term sales and success.
- Keep every promise that you make. When things go wrong, take ownership of the problem regardless of whether it's your fault. Seek to understand the situation, empathize with the customers, and apologize sincerely.



Teaching is one of the best ways to build trust and connection, so don't be afraid to teach everything you know.

- When you teach your customers, you can:
 - (i) Establish yourself as the *domain expert* on a topic, so they're more likely to consider you when they make a purchase.
 - (ii) Subtly *promote the benefits* of your product. For example, if you sell electric vehicles, you can share how electric vehicles save costs and reduce environmental damage, and also how your electric vehicles are different from competitors'.
 - (iii) Help them to use your product/service successfully and share their *positive experience* more easily.
- People are often afraid that their ideas will be "stolen". In reality, ideas alone are worthless. True value comes from great execution. Facebook is basically an improved version of MySpace, while Uber is an improved concept of the traditional taxi service. Instead of protecting your ideas, get better at executing them. As you teach and share your ideas, use the valuable feedback to refine/improve your solutions.

KEY QUOTES

"Trust happens first. Only then does the commerce follow."

"To stand out and build an audience as a company of one, you have to outteach and outshare the competition, not outscale them."

"Ideas aren't a valid currency. Execution is the only valid currency in business."



Word-of-mouth is an important way to gain trust. According to Nielsen, 92% of consumers trust friends' or family's recommendations more than advertising. To convert your customers into advocates:

- Ensure you have a good product and customer service.
- Offer incentives (e.g. small discounts, exclusive benefits, access to premium features) for both the referrer and purchaser.
- Reward loyalty.
- Follow up with clients after they've had the chance to experience the product benefits. This allows you to collect success stories, identify additional services they may require from you, and get them to refer your services. For example, 1 week after a purchase, you can ask customers to rate their satisfaction on a scale of 1-10. Then another week later, send a follow-up email to those who had given a rating of ≥ 7 with an incentive for them to share their experience.



Starting your own business



Starting a business isn't for everyone. To succeed, you must be willing to set aside your ego and learn different things from HR to accounts, product development, sales and marketing.



Before you make the leap, build your skills and customer base on a part-time basis first. As you set up your business, consider how you can minimize expenses and use your time optimally to achieve MVP asap. Set up your business as a separate *legal* entity so you're protected from personal liability, and get find a good accountant who can advise you on financial laws and taxes. Plan for adequate income, savings, investments, and design your business to achieve your desired lifestyle. Remember: your business should work for you and not vice versa.

KEY QUOTES

"Making money is often easier than earning trust, because money can be lost and won back without judgment, whereas trust is hard to regain once it's lost."

"Working for yourself requires ego and purpose in equal measure."